Quant

Take a look at :

https://www.instagram.com/reel/DXYr-nxTRgp/?igsh=djFqZHExNHlnZWRu

Confirmation of reversal

- [ ] MSS : Market structure shift (HH → FAILING TO CREATE HL AND SWITCHING DIRECTION)
- [ ] Patterns (DT, DB...)
- [ ] Candlesticks (Pin bar)
- [ ] FVG

The steps for identifying a setup

- [ ] Identify the Level : Determine a significant prior session high or low (on the same day) For example:
    - [ ] We are starting London session and we are looking for Asia H/L or we are entering NY session and we are looking for London H/L or Asia H/L (Only if the price didn't go through the Asia low or high during the London session)
- [ ] Watch for the sweep : watch for price to break through this level, triggering stop losses and creating a displacement or fakeout spike
- [ ] Confirm the Rejection: Ensure that after the spike, price quickly reverses direction and closes back on the original side of the market , showing a clear rejection of the level
- [ ] Execute the trade with a 1:1 RR

Consider Multi timeframe analysis

- [ ] 4H for market direction
- [ ] 1H for structure & Level Layer
- [ ] 5m entry trigger layer

Timeframe	Chart Example	Primary Function	Key Elements to Identify
Higher Timeframe (HTF)	Daily / 4-Hour	**Determine Overall Trend Bias**	Direction of the daily candle; Major support/resistance levels [12]; Weekly range extremes [26].
Intermediate Timeframe (ITF)	1-Hour	**Identify Key Levels & Market Structure**	Prior session high/low for liquidity sweeps [3]; Swing points (HH, HL, LH, LL) for MSS [23]; Fair Value Gaps (FVGs) [38].
Execution Timeframe (ETP)	5-Minute (M5)	**Provide Precise Entry Confirmation**	Final rejection of the swept level; Bullish/Bearish reversal candlesticks (pin bars, engulfing patterns) [2]; Confirmation candle close [44].

Macro + Geo

- [ ] Blocking the strategy for at least 30m before and after the High impact news release
- [ ] The strategy should completely avoid counter trend trading

Position sizing and risk

$$\text{Position Size} = \frac{(\text{Account Balance}) \times (\text{Risk Percentage})}{(\text{Stop-Loss Distance in Pips}) \times (\text{Value per Pip})}$$

Risk set to two percent per trade.
RR is set to 1 : 1

Execution Protocol and Trade management

Before opening the trade, the algo should go through a **Pre-Trade Checklist.** A mandatory series of verifications to confirm that all prerequisites of a high-probability setup have been met:

☐ **Timeframe alignment check :** Confirm the trend alignment between the 4H and 1H timeframes.

☐ **Session filter check:** Verify that the current time falls within a high-volume trading session, preferably the overlap of London and NY session.

☐ **Macro & Geopolitical Check:** Consult a calendar of upcoming events and new, if(news are in about 30 mins|| new were announced 30mins earlier){ do not open trade}. Also watch out for trump announcements

☐ **Level Identification:** Define the recent session high and low, look for price sweep on the 5m timeframe. Also place major levels of support and resistance on the 1h and 4h timeframe.

☐ **Rejection and sweep confirmation:** Look for clear signs of reversal such as candles, patterns on the 5m and 1m timeframes. Look for shift in market structure.

☐ **Trade execution:** Set proper stop and target 1:1 RR, with a stop set with respect to the ATR indicator :

$$1.5 \times \mathrm{ATR}$$